Type MS · Why businesses give trade discount and cash discount

Answer 1 of 13 · Question 14 part a · 2 marks

2025 JUN · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

14(a)	**Award marks as indicated. Max 2 marks.** • Encourages bulk buying **(1)** • Encourages repeat business **(1)** • Encourages increased sales **(1)** • Improves customer loyalty **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
14(b)	**Award marks for correct account and amount in combination. One mark for correct narrative.** **Journal** **Date** / **Account** / **Debit $** / **Credit $** Mar 31 — Irrecoverable debts — 32 **(1)** BZ Traders / Trade receivables (control account) — 32 **(1)** Being the write-off of an irrecoverable debt. **(1)**	**(3)**

Type MS · Why businesses give trade discount and cash discount

Answer 1 of 13 · Question 14 part a · 2 marks

2025 JUN · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
14(c)	**Award marks for correct dates, details and amount in combination.**	**(10)**

Alicia Account

Date2025	Details	$	Date 2025	Details	$
Mar 1	Balance b/d	1 440	Mar 16	Sales returns / Returns inwards (day book)	108 **(1)**
10	Sales (day book)	765 **(1)**	30	Cash book /Bank	1 368 **(1)**
			30	Cash book / discount allowed	72 **(1)**
			31	Balance c/d	657
		2 205			2 205
Apr 1	Balance b/d	657 **(1of)**			

BZ Traders Account

Date2025	Details	$	Date 2025	Details	$
Mar 1	Balance b/d	458	Mar 10	Cash book / Bank	426 **(1)**
12	Sales (day book)	310 **(1)**	31	Journal / Irrecoverable debts	32 **(1)**
19	Cash book / Bank	426 **(1)**	31	Balance c/d	736
		1 194			1 194
Apr 1	Balance b/d	736 **(1of)**			

TOTAL FOR QUESTION 14 = 15 MARKS

Type MS · Why businesses give trade discount and cash discount

Answer 2 of 13 · Question 4 part whole · 1 mark

2019 JUN · Paper 01 · find part whole in this mark scheme extract

4	**C** Prompt payment	**(1)**

Type MS · Why businesses give trade discount and cash discount

Answer 3 of 13 · Question 14 part c.i · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 2 · find part c.i in this mark scheme extract

14 (a) **Award marks as indicated.**

Transaction	Source document	Book of original entry
Sold goods	Sales invoice **(1)**	Sales day book **(1)**
Received payment from customer	Remittance advice **(1)**	Cash book **(1)**
Purchased a non-current asset on credit	Purchase invoice **(1)**	Journal **(1)**

(6)

Question Number	Answer	Mark
14 (b) (i)	**Award marks for each correct date, details and amounts in combination.**	**(6)**

Jay Account

Date	Details	$	Date	Details	$
2020 Mar 8	Purchases returns day book	38 **(1)**	2020 Mar 1	Balance b/d	1 250 **(1)**
23	Cash book	1 225 **(1of)**	3	Purchases day book	615 **(1)**
23	Cash book / discount received	25 **(1)**			
31	Balance c/d	577			
		1 865			1 865
			Apr 1	Balance b/d	577 **(1of)**

Type MS · Why businesses give trade discount and cash discount

Answer 3 of 13 · Question 14 part c.i · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 2 · find part c.i in this mark scheme extract

Question Number	Answer	Mark
14 (b) (ii)	**Award 1 mark as indicated.** Nominal ledger — Receivables ledger — Payables ledger — ✓ **(1)**	**(1)**

Question Number	Answer	Mark
14 (c) (i)	**Award 1 mark as indicated.** Loyalty/bulk purchases/businesses in the same trade **(1).**	**(1)**

Question Number	Answer	Mark
14 (c) (ii)	**Award 1 mark as indicated.** Prompt payment **(1).**	**(1)**

Type MS · Why businesses give trade discount and cash discount

Answer 4 of 13 · Question 14 part c.ii · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 2 · find part c.ii in this mark scheme extract

14 (a) **Award marks as indicated.**

Transaction	Source document	Book of original entry
Sold goods	Sales invoice **(1)**	Sales day book **(1)**
Received payment from customer	Remittance advice **(1)**	Cash book **(1)**
Purchased a non-current asset on credit	Purchase invoice **(1)**	Journal **(1)**

(6)

Question Number	Answer	Mark
14 (b) (i)	**Award marks for each correct date, details and amounts in combination.**	**(6)**

Jay Account

Date	Details	$	Date	Details	$
2020 Mar 8	Purchases returns day book	38 **(1)**	2020 Mar 1	Balance b/d	1 250 **(1)**
23	Cash book	1 225 **(1of)**	3	Purchases day book	615 **(1)**
23	Cash book / discount received	25 **(1)**			
31	Balance c/d	577			
		1 865			1 865
			Apr 1	Balance b/d	577 **(1of)**

Type MS · Why businesses give trade discount and cash discount

Answer 4 of 13 · Question 14 part c.ii · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 2 · find part c.ii in this mark scheme extract

Question Number	Answer	Mark
14 (b) (ii)	**Award 1 mark as indicated.** Nominal ledger — Receivables ledger — Payables ledger — ✓ **(1)**	**(1)**

Question Number	Answer	Mark
14 (c) (i)	**Award 1 mark as indicated.** Loyalty/bulk purchases/businesses in the same trade **(1).**	**(1)**

Question Number	Answer	Mark
14 (c) (ii)	**Award 1 mark as indicated.** Prompt payment **(1).**	**(1)**

Type MS · Why businesses give trade discount and cash discount

Answer 5 of 13 · Question 8 part whole · 1 mark

2020 NOV · Paper 01 · find part whole in this mark scheme extract

8	**The only correct answer is C - Payment made within agreed time** A is not correct because bulk purchases would trigger a trade discount B is not correct because payment by cash would not trigger a cash discount D is not correct because regular purchases would trigger a trade discount	**(1)**

Type MS · Why businesses give trade discount and cash discount

Answer 6 of 13 · Question 3 part whole · 1 mark

2023 JAN · Paper 01 · find part whole in this mark scheme extract

3	B Paying promptly	(1)

Type MS · Why businesses give trade discount and cash discount

Answer 7 of 13 · Question 15 part a · 2 marks

2023 JUN · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

15(a)	**Award marks as indicated up to max 2** To encourage bulk buying **(1)** To reward loyalty **(1)** To gain new customers **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
15(b)	**Award marks as indicated up to max 2** Goods returned (after payment received) **(1)** Overpayment **(1)** Payment made in advance **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Why businesses give trade discount and cash discount

Answer 7 of 13 · Question 15 part a · 2 marks

2023 JUN · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
15(c)	**Award marks for correct dates, details and amounts in combination.**	**(7)**

Bella Account

Date 2023	Details	$	Date 2023	Details	$
Jan 1	Balance b/d	3 720 **(1)**	Jan 2	Bank /Cash book	3 500 **(1)**
9	Sales (day book)	880 **(1)**		Cash book / discount allowed	220 **(1)**
28	Sales (day book)	1 235 **(1)**	17	Sales returns (day book)	170 **(1)**
			31	Balance c/d	1 945
		5 835			5 835
Feb 1	Balance b/d	1 945 **(1of)**			

Question Number	Answer	Mark
15(d)(i)	**Award marks as indicated up to max 2** Speed of processing **(1)** Improved accuracy **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
15(d)(ii)	**Award marks as indicated up to max 2** Firewall **(1)** Anti-virus software **(1)** Passwords **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 15 = 15 MARKS

Type MS · Why businesses give trade discount and cash discount

Answer 8 of 13 · Question 2 part whole · 1 mark

2023 NOV · Paper 01 · find part whole in this mark scheme extract

2	**B To encourage prompt payment**	**(1)**

Type MS · Why businesses give trade discount and cash discount

Answer 9 of 13 · Question 4 part whole · 1 mark

2024 JUN · Paper 01 (regional R) · find part whole in this mark scheme extract

4	C Payment is made within an agreed time period	(1)

Type MS · Why businesses give trade discount and cash discount

Answer 10 of 13 · Question 14 part a · 2 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 2 · find part a in this mark scheme extract

Number		
14(a)	**Award 1 mark for each correct reason up to max 2 marks.** Bulk buying **(1)** Encourage loyalty **(1)** To gain new customers **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Why businesses give trade discount and cash discount

Answer 10 of 13 · Question 14 part a · 2 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
14(b)	**Award marks for correct dates, details and amounts in combination.** **Award opening balance mark once for all three balances.**	**(11)**

Park Stores Account

Date	Details	$	Date	Details	$
Mar 1	Balance b/d	400 **(1)**	Mar 30	Bank / Cash book	500 **(1)**
3	Sales (day book)	108 **(1)**	31	Balance c/d	260
29	Sales (day book)	252 **(1)**			
		760			760
Apr 1	Balance b/d	260 **(1of)**			

Green News Account

Date	Details	$	Date	Details	$
Mar 1	Balance b/d	1 256	Mar 7	Sales returns (day book)	45 **(1)**
18	Sales (day book)	252 **(1)**	28	Bank / Cash book	1 463 **(1of)**
		1 508			1 508

Mary's Sweets Account

Date	Details	$	Date	Details	$
Mar 1	Balance b/d	176	Mar 11	Bank / Cash book	176 **(1)**
30	Bank / Cash book	176 **(1)**	31	Balance c/d	176
		352			352
Apr 1	Balance b/d	176 **(1)**			

Question Number	Answer	Mark
14(c)	**Award 1 mark for each correct benefit up to max 2 marks.** Reduce the chances of irrecoverable debts **(1)** Improve cash flow **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 14 = 15 MARKS

Type MS · Why businesses give trade discount and cash discount

Answer 11 of 13 · Question 14 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 2 · find part c in this mark scheme extract

Number		
14(a)	**Award 1 mark for each correct reason up to max 2 marks.** Bulk buying **(1)** Encourage loyalty **(1)** To gain new customers **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Why businesses give trade discount and cash discount

Answer 11 of 13 · Question 14 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 2 · find part c in this mark scheme extract

Question Number	Answer	Mark
14(b)	**Award marks for correct dates, details and amounts in combination.** **Award opening balance mark once for all three balances.**	**(11)**

Park Stores Account

Date	Details	$	Date	Details	$
Mar 1	Balance b/d	400 **(1)**	Mar 30	Bank / Cash book	500 **(1)**
3	Sales (day book)	108 **(1)**	31	Balance c/d	260
29	Sales (day book)	252 **(1)**			
		760			760
Apr 1	Balance b/d	260 **(1of)**			

Green News Account

Date	Details	$	Date	Details	$
Mar 1	Balance b/d	1 256	Mar 7	Sales returns (day book)	45 **(1)**
18	Sales (day book)	252 **(1)**	28	Bank / Cash book	1 463 **(1of)**
		1 508			1 508

Mary's Sweets Account

Date	Details	$	Date	Details	$
Mar 1	Balance b/d	176	Mar 11	Bank / Cash book	176 **(1)**
30	Bank / Cash book	176 **(1)**	31	Balance c/d	176
		352			352
Apr 1	Balance b/d	176 **(1)**			

Question Number	Answer	Mark
14(c)	**Award 1 mark for each correct benefit up to max 2 marks.** Reduce the chances of irrecoverable debts **(1)** Improve cash flow **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 14 = 15 MARKS

Type MS · Why businesses give trade discount and cash discount

Answer 12 of 13 · Question 11 part c · 2 marks

2024 NOV · Paper 01 · find part c in this mark scheme extract

Number		
11 (a)	**Award marks as indicated.** *Cash sales* Cash book **(1)** *Credit sales* Sales (day) book **/** Sales Journal **(1)**	**(2)**

Question Number	Answer	Mark
11 (b)	**Award mark as indicated.** Statement of account **(1)**	**(1)**

Question Number	Answer	Mark
11 (c)	**Award marks as indicated.** *Trade discount* Purchasing in bulk **(1)** *Cash discount* To encourage prompt payment **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 11 = 5 MARKS

Type MS · Why businesses give trade discount and cash discount

Answer 13 of 13 · Question 6 part whole · 1 mark

2025 JUN · Paper 01 (regional R) · find part whole in this mark scheme extract

6	C Customer paid their account within stated time	(1)